

02:00 PM

24-CIV-00585

IN RE ILLUMINA, INC. SHAREHOLDER LITIGATION

LINE 3

LOREN SCOTT MAR, INDIVIDUALLY AND ON BEHALF OF ALL OTHERS
SIMILARLY SITUATED
FRANCIS A. DESOUZA

PATRICK T. JOHNSON
KOJI F. FUKUMURA

DEFENDANT: FRANCIS DESOUZA, SAM SAMAD, KAREN MCGINNIS, JAY FLATLEY, FRANCES ARNOLD, CAROLINE DORSA, ROBERT EPSTEIN, SCOTT GOTTLIEB, GRAY GUTHART, PHILIP SCHILLER, SUSAN SIEGEL, JOHN THOMPSON, SCOTT DAVIES, JOYDEEP GOSWAMI AND ILLUMINA, INC.'S MOTION FOR JUDGMENT ON THE PLEADINGS

TENTATIVE RULING:

Francis A. deSouza, Sam A. Samad, Karen McGinnis, Jay T. Flatley, Frances Arnold, Ph.D., Caroline Dorsa, Robert S. Epstein, M.D., Scott Gottlieb, M.D., Gary S. Guthart, Ph.D., Philip W. Schiller, Susan E. Siegel, John W. Thompson, and Illumina, Inc.'s ("Illumina") (collectively, "Defendants") Motion for Judgment on the Pleadings is DENIED.

Defendants' Request for Judicial Notice is GRANTED, but not for the truth of the matters therein. The Court finds that each of the documents which Defendants request judicial notice of is either incorporated by reference into Plaintiffs' complaint, a record of a U.S. or foreign court, or not reasonably subject to dispute. (See Evid. Code §§ 452(d),(f),(h); *City of Port Hueneme v. Oxnard Harbor Dist.* (2007) 146 Cal. App. 4th 511, 513-14.) Defendants have given Plaintiffs sufficient notice of these requests and have provided the Court with sufficient information to take judicial notice of the documents. (Evid. Code § 453.)

"A motion for judgment on the pleadings has the same function as a general demurrer but is made after the time for demurrer has expired. Except as provided by CCP § 438 (¶ 7:277 ff.), the rules governing demurrers apply. [*Cloud v. Northrop Grumman Corp.* (1998) 67 CA4th 995, 999, 79 CR2d 544, 546 (citing text); *Southern Calif. Edison Co. v. City of Victorville* (2013) 217 CA4th 218, 227, 158 CR3d 204, 209-210; *Templo v. State of Calif.* (2018) 24 CA5th 730, 735, 234 CR3d 406, 409—'motion for judgment on the pleadings is equivalent to a demurrer' (internal quotes omitted)]" (Weil & Brown, Cal. Prac. Guide: Civ. Proc. Before Trial (Rutter, June 2026 Update) ¶ 7:275.)

"The statutory motion for judgment on the pleadings does not lie on grounds previously raised by demurrer unless there has been a 'material change in applicable case law or statute' since the demurrer was overruled. [CCP § 438(g)(1); see *Yancey v. Sup.Ct. (Neal)* (1994) 28 CA4th 558, 562, 33 CR2d 777, 779, fn. 1 (citing text)]" (Id. at ¶ 7:305.)

On September 16, 2025, this Court (Hon. Finigan) sustained in part and overruled in part Defendants' demurrer to Plaintiff's Consolidated Complaint. Defendants had demurred to the first through third causes of action of the Complaint (alleged violations of Sections 11, 12, and 15 of the Securities Act of 1933) on the grounds that Plaintiffs lacked standing and the Complaint failed to state a cause of action. (Order re Illumina Defendants' Demurrer, p. 6:25-28.) The Court overruled the first cause of action on the grounds that "Plaintiffs have sufficiently pled that Illumina Defendants made false and/or misleading

statements as to generally accepted accounting principles (GAAP) compliance.” (Id. at p. 9:23-25.) The Court overruled the second cause of action on the same grounds as the first cause of action, but only as to Illumina and Mr. deSouza, finding that Plaintiffs had only pled sufficient facts to state a claim that Mr. deSouza was a statutory seller in addition to Illumina. (Id. at p. 13:21-27.) The Court overruled the third cause of action on the same grounds as the first and second causes of action. (Id. at p. 17:10-11.)

Defendants now move for judgment on the pleadings as to the same causes of action for failure to state a cause of action, that is, the same grounds as the demurrer. Defendants argue that their motion is proper because there has been a material change in law through the Ninth Circuit’s opinion in *Hunt v. PwC LLP* (9th Cir. 2025) 159 F.4th 603, 617–18. The Court finds that *Hunt* does not represent a material change in law, therefore Defendants’ motion for judgment on the pleadings does not lie.

In *Hunt*, the Ninth Circuit considered an appeal from a motion to dismiss and analyzed whether an accountant could be held strictly liable under Section 11 of the Securities Act of 1933 for a company’s financial statement which the accountant had certified. (*Hunt* at 611-616.) The court found that the accountant could not be held liable, then turned to additional grounds for why the district court’s decision should be affirmed. The court looked at the company’s challenged statements and found that the plaintiffs had failed to allege sufficient facts to establish that the statements were untrue and failed to allege that the statements were statements of fact. (Id. at 617.) The court pointed to the Supreme Court’s opinion in *Omnicare, Inc. v. Laborers Dist. Council Const. Industry Pension Fund* (2015) 575 U.S. 175, 195 and found that the district court had properly applied *Omnicare* to the facts of the case.

Defendants argue that *Hunt* held that “where an accounting provision requires the exercise of judgment, statements of GAAP compliance are opinions that *must* be analyzed under *Omnicare*.” (MPA, p. 8:9-11, emphasis original.) However, the Court finds that this overstates *Hunt*’s holding. Defendants seem to focus on the following statement in the opinion:

“The district court correctly applied *Omnicare*’s reasoning to conclude that numbers can sometimes be facts and other times be opinions, depending on whether ‘the considerations underlying the figures—such as which GAAP provisions apply and how to apply them—... require the exercise of judgment.’ ” (*Hunt* at 618.)

From this it is quite clear that the Ninth Circuit was simply affirming the district court’s application of *Omnicare*, and it did not create any material change in the law. Therefore, the motion is DENIED.

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court’s signature a written order consistent with the Court’s ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part “prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling” (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.

02:00 PM

25-CIV-01366 PRALUMEX, INC. VS FIBRE TRADE, INC.

LINE 4

PRALUMEX, INC.
FIBRE TRADE, INC.

EDWARD C. IP
DAVID C. CASARRUBIAS

DEFENDANT: FIBRE TRADE, INC'S DEMURRER TO PLAINTIFF'S FIRST AMENDED COMPLAINT

TENTATIVE RULING:

Defendant Fibre Trade, Inc.'s ("Defendant") Demurrer to Plaintiff Pralumex Inc.'s ("Plaintiff") First Amended Complaint is SUSTAINED, WITHOUT LEAVE TO AMEND as to the 1st, 4th, 5th, 8th, 12th, 13th, 14th, 15th, and 16th causes of action; SUSTAINED, WITH LEAVE TO AMEND as to the 3rd and 11th causes of action; and OVERRULED as to the 2nd, 6th, 7th, 9th, and 10th causes of action.

This is a qui tam action alleging that several companies involved in the trade and transport of recyclable materials engaged in fraudulent practices.

"A demurrer is a pleading used to test the legal sufficiency of other pleadings. I.e., it raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, petition, answer or cross-complaint). [CCP §§ 422.10, 589; see *Donabedian v. Mercury Ins. Co.* (2004) 116 CA4th 968, 994, 11 CR3d 45, 64 (citing text); *Lewis v. Safeway, Inc.* (2015) 235 CA4th 385, 388, 185 CR3d 228, 229 (citing text); *SJJC Aviation Services, LLC v. City of San Jose* (2017) 12 CA5th 1043, 1051-1052, 219 CR3d 637, 645—demurrer properly used to challenge petition for writ of mandate]. [¶] It is not the function of a demurrer to challenge the truthfulness of the complaint; and for purposes of the ruling on a demurrer, all facts pleaded in the complaint are assumed to be true however improbable they may be (see ¶ 7:43 ff.)." (Weil & Brown, Cal. Prac. Guide: Civ. Proc. Before Trial (Rutter, June 2025 Update) ¶ 7:5, emphasis original.)

"Judges will not sustain a demurrer unless the basis for the demurrer is clearly well taken. The complaint must be 'liberally construed, with a view to substantial justice between the parties.' [CCP § 452; see *Stevens v. Sup.Ct. (API Ins. Services, Inc.)* (1999) 75 CA4th 594, 601, 89 CR2d 370, 374; *Perez v. Golden Empire Transit Dist.* (2012) 209 CA4th 1228, 1238, 147 CR3d 709, 716—where allegations are subject to different reasonable interpretations, court must draw "inferences favorable to the plaintiff, not the defendant"]." (Id. at ¶ 7:124.)

"Even if a demurrer is sustained, leave to amend the complaint is routinely granted. Courts are very liberal in permitting amendments, not only where a complaint is defective in form, but also where substantive defects are apparent: 'Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given.' [*Angie M. v. Sup.Ct. (Hiemstra)* (1995) 37 CA4th 1217, 1227, 44 CR2d 197, 204; *Stevens v. Sup.Ct. (API Ins. Services, Inc.)* (1999) 75 CA4th 594, 601, 89 CR2d 370, 375]." (Weil & Brown, Cal. Prac. Guide: Civ. Proc. Before Trial (Rutter, June 2025 Update) ¶ 7:129.) "It is an abuse of discretion for the court to deny leave to amend where there is any reasonable possibility that plaintiff can state a good cause of action. [Citations] [¶] But the court should deny leave to amend where the facts are not in dispute and no liability exists under substantive law." (Id. at ¶ 7:129.1, emphasis original.)